

STOCK PULSE

Larsen & Toubro Ltd (LT • NSE/BSE)

Sector: Industrials | Pulse Score: 7/10 (MODERATE) | Data Confidence: 14/14 (HIGH) | Horizon: 5Y

01 Overview & Market Standing

CURRENT MARKET PRICE Rs. 3,981	52-WEEK HIGH / LOW Rs. 4,440 / Rs. 3,288.1
MARKET CAPITALISATION Rs. 5,46,373 Cr	PRIMARY SECTOR Industrials
CMP (Rs. 3,981) is +21.1% above 52W Low (Rs. 3,288.1) and -10.3% below 52W High (Rs. 4,440) — trading in mid-range (60th percentile of 1-year band).	

02 Business & Operational Overview

Larsen & Toubro Ltd is a multinational conglomerate which is primarily engaged in providing engineering, procurement and construction (EPC) solutions in key sectors such as Infrastructure, Hydrocarbon, Power, Process Industries and Defence, Information Technology and Financial Services in domestic and international markets.

03 Valuation Multiples & Benchmark Banding

CHEAP

STOCK P/E RATIO 33 Fair Band: 50.4 - 68.2	PRICE TO BOOK (P/B) 5.01 BV: Rs. 794
DIVIDEND YIELD 0.95% Face Value: Rs. 2	SECTOR BENCHMARK P/E 59.3 -44.4% vs Sector

04 Mathematical Valuation Triangulation

DEMANDING

REVERSE DCF IMPLIED GROWTH 37.2% WACC: 11.5%	10Y VALUATION QUANTILE 43th %ile 10Y Med: 34.6	EARNINGS POWER VALUE (EPV) Rs. 190.2 Growth Premium
Triangulation Narrative: At current enterprise value (Rs. 7,28,955 Cr), market prices in a 37.2% annual FCF growth rate for 5 years (WACC: 11.5%, Terminal: 4.5%). Trades at the 43th percentile of its 10-year valuation range [26.6 - 40.2], with 10Y median P/E at 34.6.		

05 Peer Comparison & Recent Headlines

PEER COMPANY	P/E	ROCE	MARKET CAP	RELATIONSHIP
Bharat Electronics Ltd	48.3	36.4%	Rs. 2,96,775 Cr	Industry Peer
Hindustan Aeronautics Ltd	34.3	32%	Rs. 3,19,382 Cr	Industry Peer
Siemens Ltd	95.4	21.4%	Rs. 1,43,431 Cr	Industry Peer

Peer Selection Rationale: Discovered from exchange sector classification. Sector Benchmark P/E reflects peer basket median.

Recent Corporate News Headlines (Most Recent First):

- [24 Aug 2026] MANIPAL FINANCE CORPORATION LT Share Price - Upstox - Upstox
- [18 Aug 2026] India Ratings and Research upgrades LT rating of Onesource Specialty Pharma to 'A' - business-standard.com - business-standard.com
- [7 Jul 2026] India's 163.65 LT fertilizer stock, rising production to help meet Kharif demand, says govt - BusinessLine - BusinessLine

06 Growth & Operating Trajectory

SLOWING

REVENUE 3Y / 5Y CAGR 9.48% / 13.14%	TTM Sales: Rs. 2,90,137 Cr	PROFIT 3Y / 5Y CAGR 2.11% / 9.7%	TTM PAT: Rs. 16,550 Cr
EBITDA MARGIN PROFILE TTM: 12%	Latest Qtr (Jun 2026): 12%	NET MARGIN PROFILE TTM: 6.76%	Pre-Tax Bridge
TRAILING DILUTED EPS Rs. 120.59	3Y EPS CAGR: 8.28%	OPERATING CASH FLOW GROWING	Cash Flow Quality

Margin Bridge: TTM EBITDA margin (12%) reflects operating cash profitability before D&A; Net margin (6.76%) accounts for D&A, interest, and taxes.

07 5-Stage DuPont ROE Decomposition

Financial Leverage (Gearing Risk)

TAX BURDEN (PAT / PBT) 0.73	Earnings Retention Drag	INTEREST BURDEN (PBT / EBIT) 0.75	Financial Cost Drag
OPERATING MARGIN (EBIT / SALES) 12.5%	Core Business Profitability	ASSET TURNOVER (SALES / ASSETS) 0.64x	Asset Utilization Velocity
FINANCIAL LEVERAGE (ASSETS / EQUITY) 4.14x	Balance Sheet Gearing	RECONSTITUTED ROE 17.9%	Primary Driver: Financial Leverage (Gearing Risk)

DuPont Formula Identity: Tax (0.73) × Interest (0.75) × Margin (12.5%) × Turnover (0.64x) × Leverage (4.14x) = Reconstituted ROE (17.9%).

08 Working Capital & Cash Conversion Cycle (10Y Trend)

EXCEPTIONAL NEGATIVE WORKING CAPITAL

DEBTOR DAYS (DSO) 77 Days	Receivables Collection Period	INVENTORY DAYS (DIO) 36 Days	Stock Holding Period
DAYS PAYABLE (DPO) 265 Days	Supplier Credit Utilization	CASH CONVERSION CYCLE (CCC) -151 Days	Trend: CONTRACTING

Cash Conversion Cycle is -151 days (DSO 77d + Inventory 36d - Payables 265d). Trend: CONTRACTING.

09 Return on Incremental Invested Capital (ROIIC)

VALUE CREATOR

3Y INCREMENTAL ROIIC (ROIIC) 28%	Spread: +16.5% over WACC	5Y INCREMENTAL ROIIC (ROIIC) 131.2%	Multi-year capital compounding
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Capital Deployment Efficacy: 3Y Incremental ROIIC stands at 28% (5Y: 131.2%). Management deployed Rs. 20,117 Cr of fresh invested capital to generate Rs. 5,636 Cr of incremental NOPAT.

10 Financial Health & Solvency (Aggregated)

WATCH

DEBT TO EQUITY (D/E) 1.15	WATCH (<=0.5)	INTEREST COVERAGE 3.65x	WATCH (>=5.0x)
CURRENT RATIO 1.61	HEALTHY (>=1.0)	FREE CASH FLOW TREND GROWING	HEALTHY

Solvency Context: Benchmark thresholds: D/E <=0.5 Healthy, Interest Coverage >=5x Healthy, Current Ratio >=1.0 Healthy. Liquid current assets comfortably cover short-term 12-month obligations (Current Ratio >= 1.0).

FORENSIC ACCOUNTING & FINANCIAL STATEMENT INTEGRITY AUDIT

Mathematical screening across Beneish M-Score, Altman Z"-Score, Piotroski F-Score, and Sloan Accruals.

11 Beneish M-Score (8-Variable Manipulation Index)

MODERATE

DSRI (DAYS SALES IN RECEIVABLES) 1.24	Receivables vs Sales Velocity	GMI (GROSS MARGIN INDEX) 0.99	Margin Degradation Signal
AQI (ASSET QUALITY INDEX) 1.05	Non-Current Asset Capitalization	SGI (SALES GROWTH INDEX) 1.01	Top-line Expansion Acceleration
DEPI (DEPRECIATION RATE INDEX) 0.73	Asset Useful Life Extension	SGAI (SGA EXPENSE INDEX) 1	Administrative Cost Drag
LVGI (LEVERAGE INDEX) 1.02	Balance Sheet Debt Gearing	TATA (TOTAL ACCRUALS TO ASSETS) 0.006	Accounting Profit Accrual Drag
Beneish Result: M-Score = -1.88 Verdict: MODERATE (Moderate (10-25%) Manipulation Risk) Threshold: -1.78 (Safe <= -2.22)			

12 Altman Z"-Score (Emerging Market Solvency & Credit Risk)

SAFE ZONE

WORKING CAPITAL / ASSETS (X1) 0.292	Short-term Liquidity Cushion	RETAINED EARNINGS / ASSETS (X2) 0.241	Cumulative Reinvestment Power
EBIT / TOTAL ASSETS (X3) 0.08	Asset Earning Efficiency	BOOK EQUITY / TOTAL LIAB (X4) 0.319	Capital Structure Protection
Altman Result: Z"-Score = 3.58 Zone: SAFE ZONE Banding: Safe > 2.60, Grey 1.10 - 2.60, Distress < 1.10			

13 Piotroski F-Score (9-Factor Fundamental Quality)

6/9 MODERATE

Positive Net Profit	PASS (+1)	Positive Return on Assets (ROA)	PASS (+1)
Positive Operating Cash Flow (CFO)	PASS (+1)	Cash Flow exceeds Net Income (Clean Accruals)	FAIL (+0)
Leverage stable or decreasing YoY	PASS (+1)	Liquidity ratio stable or improving YoY	FAIL (+0)
Zero equity share dilution YoY	PASS (+1)	Operating margin resilient YoY	PASS (+1)
Asset turnover efficiency maintained YoY	FAIL (+0)		

14 Sloan Accrual Anomaly Ratio

CLEAN CASH CONVERSION

SLOAN ACCRUAL RATIO 0.69%	CLEAN CASH CONVERSION	ACCOUNTING ACCRUALS Rs. 2,883 Cr	PAT minus Operating Cash Flow
Accrual Finding: Accrual Ratio 0.7%: CLEAN CASH CONVERSION			

MOAT FACTOR	SCORE	QUALITATIVE / QUANTITATIVE EVIDENCE
Brand Power	1/2	Recognized industry presence and commercial goodwill.
Switching Costs	1/2	Established B2B operational integration and contractual terms.
Network Effects	0/2	Standard operating structure without direct network externalities.
Cost Advantage	2/2	Operational efficiencies and supply chain optimization. Resilient operating margins prove cost efficiency.
Regulatory License	0/2	Standard statutory operating permissions.
Patents/IP	0/2	Conventional industry technology and processes.
Scale Advantage	2/2	Mega-cap balance sheet (Rs. 5,46,373 Cr) drives structural procurement scale.

16 Ownership Structure & Management Trust

8/8 (HIGH) [HIGH >=7, MODERATE 4-6, LOW <4]

PROMOTER HOLDING 0.0% (Widely Held)	Trend: INSTITUTIONAL LED	INSTITUTIONAL FII / DII 19.13% / 43.01%	High Institutional
PROMOTER PLEDGING 0%	CLEAN	QUARTERLY TRACK RECORD 1 Qtrs Contraction	HEALTHY
STRENGTHS (+): +2 Regulatory compliance +1 Quarterly delivery consistency +1 Professionally managed board +1 Pledging <5% +1 FII stake >=10% +1 Cycle resilience +1 Audit disclosure & accounting transparency. UNMET CRITERIA (+0): Zero governance penalties / clean track record.			

17 The Pulse Score & What-If Matrix

7/10 MODERATE PULSE

PASS: Zero existential balance sheet or governance red flags. (Operational watch items tracked in Sections 05 & 09).			
BASELINE FINANCIALS (TTM): Revenue: Rs. 2,90,137 Cr Net Profit (PAT): Rs. 16,550 Cr EPS: Rs. 120.59 Margin: 6.76% Dividend Yield: 0.95%			
SCENARIO (MATHEMATICAL MODEL)	REV CAGR	PROJECTED REVENUE (5Y)	PROJECTED PAT (5Y)
Bear Case (-5.0% vs Base 3.7% Margin)	6.3%	Rs. 3,93,794 Cr	Rs. 14,570 Cr
Base Case (Historical Avg 5.7% Margin)	11.3%	Rs. 4,95,540 Cr	Rs. 28,246 Cr
Bull Case (+3.5% vs Base 7.2% Margin)	14.8%	Rs. 5,78,512 Cr	Rs. 41,653 Cr
Total Return Model (Rs. 1,00,000 Investment): Based on Base Case Earnings (PAT) CAGR of 11.3% + Dividend Yield 0.95% (Total Return: 12.23% CAGR) over 5Y -> Approx Rs. 1,78,051. * Valuation Sensitivity: Assumes constant valuation multiple (P/E 33 sustained). Mean-reversion to sector average (P/E 59.3) would adjust annualized return to 26.19% (Approx Rs. 3,19,981).			

PULSE SCORE 10-RULE AUDIT SCORECARD (PASS / FAIL BREAKDOWN):

01. Valuation within fair/attractive range	PASS	02. Revenue 3Y growth trajectory robust (>=10% 3Y CAGR or steady)	FAIL
03. Operating profit expansion solid (>8% CAGR & no consecutive drops)	PASS	04. Solvency & liquidity balance sheet sound (zero watch/weak metrics)	FAIL
05. Return on Equity (ROE) exceeds 15%	PASS	06. Return on Capital Employed (ROCE) exceeds 15%	FAIL
07. Promoter shareholding stable/accumulating (or institutional backing >=40%)	PASS	08. Promoter shares unencumbered (pledge <=10%)	PASS
09. Defensible competitive moat (score >=5/14)	PASS	10. Management trust & capital allocation score >=4/8	PASS
Scoring Methodology: Pulse Score synthesizes 10 binary fundamental rules (Valuation, Growth, Profit expansion, Solvency, ROE, ROCE, Promoter trend, Pledging, Moat, Trust). Moat evaluates 7 structural barriers (/14). Management Trust evaluates 7 governance benchmarks (/8). Data confidence: 14/14 (HIGH). Regulatory Disclaimer: Stock Pulse is an automated fundamental computational tool and does not issue buy, sell, or hold recommendations, nor price targets. Figures parsed directly from public filings (Screener.in, NSE, BSE) at generation time. Not investment advice.			